

REPUBLIC OF KENYA



COUNTY GOVERNMENT OF MACHAKOS

DEPARTMENT OF FINANCE, ECONOMIC PLANNING AND REVENUE MANAGEMENT

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26th August, 2025

To:

All County Executive Committee Members
All Accounting Officers/Chief Officers
County Government of Machakos

RE: GUIDELINES FOR THE PREPARATION OF FINANCIAL YEAR 2026/2027 AND
MEDIUM-TERM BUDGET

A. INTRODUCTION

1. This circular is issued in accordance to article 220 of the Constitution of Kenya 2010 and section 128(2) of the Public Finance Management (PFM) Act, 2012 that requires the County Executive Committee Member for Finance to issue a circular setting out guidelines to be followed by all County Government Entities in the budget process not later than 30th August every year.



- *Purpose*

2. This Circular provides guidance to all County Government of Machakos Entities on the processes and procedures to be followed during the preparation of the FY 2026/2027 and the Medium-Term Budget Estimates highlighting:
 - i. Background and Assumptions underlying the FY 2026/2027 and the Medium-Term Budget
 - ii. Policy framework that will be taken into consideration during the preparation of the FY 2026/2027 budget and in the medium term;
 - iii. Legal timelines and requirements for key activities in the budget making process.
 - iv. The format in which information and documents relating to the budget are to be presented/submitted;
 - v. Prioritization process and costing of programmes/projects;

- *Background*

3. The County FY2026/2027 and Medium-Term Budget is being prepared within the context of a global economy that faces significant challenges due to rising trade barriers, financial tightening, and policy uncertainties, which threaten growth prospects. Persistent risks include trade policy escalations, cautious consumer and business behavior, intensification of geopolitical tensions, and sustained inflation, potentially exceeding expectations. However, reversing trade restrictions early could stimulate growth and mitigate inflationary pressures
4. Global economic growth is expected to moderate to 3.0 percent in 2025 from 3.3 percent, before slightly improving to 3.1 percent in 2026. The slowdown is largely attributed to front-loading of trade activities in anticipation of higher tariffs, lower-than-expected effective US tariff rates, and easing global financial conditions driven by a weaker US dollar, and fiscal expansion in some major economies. In addition, geopolitical tensions pose a further threat by potentially disrupting global supply chains and driving up commodity prices.
5. At the regional level, growth in Sub-Saharan Africa is projected to grow steadily at 4.0 percent in 2025 and improve to 4.3 percent in 2026, reflecting gradual recovery across the region. The growth outlook is supported by factors such as increased private

consumption, ongoing public investments in infrastructure, and a gradual revival of the services sector, particularly tourism. However, several risks could impede this growth trajectory, including spillovers from global trade disruptions, declining external demand, volatility in commodity prices driven by geopolitical tensions, and limited fiscal capacity in many countries, which may lead to tighter financing conditions.

6. Kenya's economy is expected to recover in 2025, with growth forecasts between 4.8% and 5.3%. This positive outlook is supported by a strong agricultural and manufacturing sector, favorable weather boosting agricultural productivity, a robust service industry, macroeconomic stability, ongoing public investment, and high business confidence. Kenya's economic outlook faces both external and domestic risks. Globally, trade tensions, financial markets volatility, and geopolitical conflicts could reduce Kenya's export, tourism and remittances as well as raise cost of essential commodities. In the domestic scene, extreme weather may impact agriculture, infrastructure, and food security. The Government continues to monitor these risks closely and will take necessary measures to safeguard macroeconomic stability.
7. Following the anticipated limited resources to be generated in the economy under the prevailing circumstances, it is essential for County Entities to prioritize and align programmes within the available resource envelope.

- *Assumptions Underpinning the FY2026/2027 and Medium-Term Fiscal Framework*

8. On the National front, the Medium-Term Fiscal Framework supporting the budget will be anchored on the following assumptions:
 - i. Real GDP growth of at least 5.3 percent over the medium term;
 - ii. Inflation maintained within ± 2.5 percent of the 5 percent target;
 - iii. Gradual downward adjustment in interest rates; stable exchange rates;
 - iv. Revenue rising to 17.7 percent of GDP in the FY 2026/2027; and
 - v. Expenditure contained below 21.5 percent of GDP in line with fiscal consolidation targets



B. SPECIFIC GUIDELINES

I. Timelines and Requirements for Key Activities in the Budget Process

9. As outlined in the Public Finance Management Act, 2012 and its regulations, the budget process involves preparation of key policy documents for approval by County Executive Committee and County Assembly. In this regard, the following policy documents will require to be prepared and approved within the stipulated timeframes:
- i. County Integrated Development Plan (CIDP);
 - ii. Annual Development Plan (ADP);
 - iii. County Budget Review and Outlook Paper (CBROP);
 - iv. County Fiscal Strategy Paper (CFSP);
 - v. Programme Based Budgets and supporting details; and
 - vi. County Appropriation Bill.
 - vii. County Finance Bill
10. To facilitate finalization and approval of the above Policy Documents and Bills within the stipulated timelines, Accounting Officers are required to strictly undertake the outlined activities in the Budget Calendar within the set timeframes as provided in **Annex I** of this Circular.

II. Institutional Framework to Guide the Budget Process

11. In line with UN-Classification of the Functions of Government (COFOG) County Entities performing closely related functions have been mapped to form sectors as follows and **Annex II** of this circular.

- i. Agriculture and Co-operative Development
- ii. Energy, Infrastructure and ICT
- iii. Commercial, Tourism and Labour Affairs
- iv. Health
- v. Public Administration
- vi. Education, Youth Sports, Gender and Social Welfare
- vii. Water and Irrigation
- viii. Land, Environment and Natural Resources

III. Form and Content of the Budget

a. Programme Based Budget (PBB)

11. The budget will continue to be presented by vote and programme in line with Section 130 (1) (b) (v) of the Public Finance Management Act, 2012. County Entities are required to review programmes and align them to the mandates of the respective Entity, the County Integrated Development Plan (CIDP), Annual Development Plan (ADP), County Fiscal Strategy Paper (CFSP) and the Governor's manifesto.
12. In designing new programmes, the structure should match the main lines of service delivery within the County Entity. While undertaking programme reviews, Accounting Officers should ensure that:
- i. Programme outcomes and outputs are Specific, Measurable, Achievable, Realistic, and Time bound (SMART) ensuring clarity of purpose and feasibility of implementation;
 - ii. Performance indicators and targets are established for both outputs and outcomes enabling effective tracking of progress and impact;
 - iii. Performance indicators should be Clear, Relevant, Economic, Adequate, and Monitorable (CREAM) to ensure they are result-oriented and actionable;
 - iv. Performance indicators and targets are those that county entities can be held accountable reinforcing institutional responsibility and ownership;
 - v. Delivery units with no clear outputs, performance indicators and targets are consolidated under the main delivery unit to streamline oversight and enhance coherence; and
 - vi. Crosscutting functions are assigned to appropriate programmes within the County Entities to ensure integrated delivery and avoid duplication.
13. Every County Entity should group functions that are closely related to a single budget programme or sub-programme in order to ensure there is no duplication. In addition, each programme should have a distinctive name that reflects the overall objective of the programme. This makes it easier to identify potentially overlapping mandates and responsibilities.



14. A budget programme or budget sub-programme should include all cost items involved in delivering the services being financed i.e. compensation of employees, use of goods and services, current or capital transfers to Government agencies and acquisition of non-financial assets.
15. Where a County entity has more than one programme, an additional programme should be created for the purpose of covering the costs associated with management, administration, planning and support services which cannot be attributed to a single programme.
16. Accounting Officers should take into consideration that the Programme Based Budget (PBB) will form the basis for itemized budget. Careful consideration should therefore be made in preparing the PBB. The PBB will therefore be submitted alongside the Itemized Budget. The format for the presentation of PBB is provided in **Annex III**.

b. Fiscal Consolidation Policy

17. The Government will continue to pursue a fiscal consolidation policy with the overall aim of reducing fiscal deficit and pending bills accumulation. The strategy focuses on enhancing own source revenue mobilization, reprioritization and rationalization of expenditures while safeguarding priority Government programmes and social spending.

c. Developing Rolling Three-Year Medium-Term Budget Estimates

18. In a “Rolling” Medium-Term Budget Plan, the first-year estimate forms the starting point for the next financial year’s budget estimates. Budget resources will continue to be appropriated on an annual basis but the budget planning process will include estimates of expenditure and revenue for the two outer years. Accounting Officers will therefore be required to submit not only the FY 2026/2027 budget estimates but also realistic projections for two outer years i.e. FY 2027/2028 and 2028/2029 (See **Annex IV**). In addition, the vote lines should conform to the Standard Chart of Accounts (**SCOA**).

IV. Programme Performance Reviews (PPRs)

19. In undertaking Programme Performance Reviews, Accounting Officers will be expected to undertake a detailed assessment of the progress achieved towards realization of the targeted outcomes and outputs after the implementation of the Medium-Term Budgets for FY 2022/2023 through to FY 2024/2025. The assessment should entail analyzing the previous budgetary allocations, actual expenditure and achievement of actual outputs and outcomes.
20. The PPRs reports should focus on efficiency and effectiveness towards the achievement of programme outcomes. Previous Programme Performance, outstanding commitment, implementation experiences and lessons learnt should form the basis for guiding expenditure allocations in the Medium-Term Budget. The format for undertaking Programme Performance Reviews is provided in **Annex V (a-h)** of this Circular.

V. Entrenching Zero Based Budgeting in PBB

21. The Government is operating under constrained fiscal environment. In view of this, the Government has adopted Zero Based Budgeting (ZBB) approach to guide the prioritization and allocation of the scarce resources to projects and programmes. Under this approach, budgeting process will focus on allocating limited resources based on programme efficiency and requirement rather than incremental budgeting which is based on history. Consequently, all expenditure on programmes to be included in the FY 2026/2027 Budget must be justified afresh for the forthcoming financial year and over the medium-term.
22. County Entities are therefore required to re-evaluate all the existing programmes using appropriate costing methodologies outlined in this Circular while coming up with the preliminary baseline requirements. In this regard, the principles of efficiency, effectiveness and economy of public spending shall strictly be enforced by ensuring low-priority expenditures give way to high-priority service-delivery programmes. County Entities should eliminate wasteful expenditures and pursue priorities which are aimed at safeguarding livelihoods, creating jobs, reviving businesses and economic recovery.



VI. Prioritization and Allocation of Resources

23. The County Treasury will ensure there is rationalization of expenditure in order to ensure that programmes funded are core and are in line with the Medium-Term Expenditure Plan (MTEF) of Machakos County. Accounting Officers should therefore be guided by the following criteria when prioritizing and allocating resources;

- i. Governor's manifesto and County Executive Committee decisions;
- ii. Programmes prioritized in the County Integrated Development Plan (CIDP) 2023-2027 and the Annual Development Plan (ADP) FY 2026/2027;
- iii. Completion of ongoing capital projects, stalled projects and payment of verified pending bills;
- iv. Operationalization of completed projects;
- v. Budget ceilings allocated by Commission on Revenue Allocation (CRA);
- vi. Equitable share of revenue allocation of the National Government;
- vii. Degree to which the programme addresses the priorities outlined in various National Government policy documents;
- viii. The expected output and outcome of the programme and the linkage a programme has with other programmes;
- ix. Degree to which the programme is addressing the core functions and responsibilities of the County Entity;
- x. Degree to which the programme addresses job creation and poverty reduction;
- xi. Programmes that support mitigation and adaptation of climate change; and
- xii. Cost effectiveness, efficiency and sustainability of the programme.

24. Based on the above broad guidelines, County Entities are required to develop and document criteria for budgetary allocation and undertake prioritization within the provided ceilings.

VII. Costing of Programmes

25. Accounting Officers are required to ensure that costing of activities in their respective programmes is accurate and takes into account the ceilings provided to avoid exaggerated

resource wish list. The various costing methodologies to be used are provided in **Annex VI** of this circular.

a. Recurrent Budget Estimates

➤ **Compensation to Employees**

26. In line with section 107(2) of the Public Finance Management Act, 2012 and Regulations 25 (1), the County Government expenditure on wages and benefits is not expected to exceed 35 percent of County Government total revenue. Adequate resources should be provided to cater for movement from one salary scale to another (*promotions*). Allocation for personnel emolument must be supported by Integrated Personnel Payroll Data (IPPD) and justification/authorization should be provided for any staff not captured in IPPD. This information should accompany budget submissions to support personnel costs. The format for submission of personnel emolument is provided in **Annex VII**. Besides the IPPD, County Entities are required to undertake a detailed analysis of human resource requirements whose template is provided in **Part I** of the Programme Based Budget.

➤ **Use of Goods and Services**

27. Accounting Officers should critically analyze their operations and maintenance expenditure to ensure that departments render service to the community as intended. All requirements for use of goods and services should be accurately costed and adequate budgetary provision made for the payment of utilities. The County Treasury will take a review of the budget proposals and where necessary, rationalize the provisions for less productive expenditures in order to create savings to be directed towards capital investment and other priority areas within and/or across departments.

➤ **Transfers from National Government MDAs**

28. County Entities are advised to ensure that they obtain necessary authorizations from respective National Government MDAs in the event that they expect any transfers to the respective County Entity. This information should accompany budget submissions to support departmental allocations.



b. Development Budget Estimates

29. County Entities are reminded to critically review the ongoing/stalled projects to justify continued existence and resource allocation. Adequate information should be provided to support allocation of funds to ongoing or stalled projects. This should include details on total cost, start and end date, cumulative expenditure to date, balance to completion, and amount required over the medium term among others.
30. Accounting Officers are required to ensure that all ongoing multi-year projects are allocated adequate funds in accordance with the contract signed between Government and third parties within the projected ceilings before a new project is allocated budgetary resources.
31. In order to have uniform and comparable information on projects, County Entities are required to adopt the following operational definition of projects as per the National Treasury's Public Investment Management Guidelines:
- *On-going project*-A project whose implementation is underway with implementation works having commenced or contractual commitments entered into;
 - *Stalled project* -a project which has stopped being implemented for whatever reason or has been receiving inadequate budget allocations which cannot facilitate meaningful progress over the medium term;
 - *New project* -a pipeline project that has been prioritized for financing, but implementation works are yet to commence and no commitments entered into; and
 - *Pipeline Project*-a project that has been appraised and granted necessary approvals and uploaded in the Public Investment Management System ready for prioritization and budget allocation.
32. Accounting Officers are advised to list all projects earmarked for implementation during the financial year and ensure that they are aligned to the development budget for the respective County Entity. The format for the submission of the projects is indicated in **Annex VIII.**

VIII. Public Participation and Stakeholder Involvement.

33. Public participation is an integral part of budget making process as stipulated in the Public Financial Management Act (PFM), 2012 Section 125 and Regulations 6(2). This is aimed at collecting views as well as priorities from all stakeholders. Therefore, all Accounting Officers are expected to incorporate the inputs/recommendations from the public forums in the budget proposals.
34. The dates for public participation and venues will be advertised in daily publications of County wide circulation as well as in the local vernacular radio stations. Accounting Officers are expected to facilitate the process in any way the County Treasury requests them to.

IX. Budgeting and Reporting on Climate Change

35. Climate change has been identified as one of the fiscal risks that can adversely affect the macro-economic outlook. Considering the country's vulnerability to the impacts of Climate change, it is imperative to prioritize climate actions. To ensure climate change is mainstreamed, the County has already established climate change as a distinct County Entity.
36. To ensure development of a standardized climate change coding structure for use in the planning, budgeting, monitoring, and reporting of public climate change expenditures, the County Entity will be required to identify climate change and environment related allocations during this process and provide quarterly expenditure reports while the National Treasury will provide further detailed guidelines on tagging and coding of climate change related expenditures in due course.

X. Gender Responsive Budgeting (GRB) and Child Sensitive Budgeting

37. The government is committed to promoting gender equality and protecting children's rights, as outlined in the Constitution and international agreements. Mainstreaming gender considerations and child-sensitive budgeting in the fiscal planning process is essential for addressing inequalities and ensuring equitable resource allocation. County Entities are therefore required to identify relevant interventions for the FY 2026/2027 and the Medium-Term, with guidelines to be issued to facilitate tracking and reporting of progress.



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XI. Conclusion

38. In the preparation of the budget and other budget documents, Accounting Officers must ensure all requirements and timelines in the Constitution of Kenya 2010, Public Financial Management Act (PFM), 2012, County Governments Act, 2012 and the attendant regulations are taken into consideration. All Accounting Officers should ensure adherence to these guidelines and bring the contents of this circular to the attention of all officers working under them.

39. The County Treasury shall provide any other additional information as need arises.



Hon. Onemus Kuyu

CECM-Finance, Economic Planning and Revenue Management



Cc.

H.E. Governor
County Government of Machakos

County Secretary
County Government of Machakos

Annex I: Machakos County Budget Calendar for the FY 2026/2027

No.	Activity	Responsibility	Timeline
1.	Issue guidelines for preparation of FY 2026/2027 and Medium-Term County Budget Estimates (<i>Sec. 128 (2)</i>)	County Executive Committee Member for Finance (CECMF)	30 th August 2025
2.	Submission of Annual Development Plan (ADP) for FY 2026/2027 to the County Assembly for approval (<i>Sec. 126 (3)</i>)	CECM responsible for Planning	1 st September, 2025
3.	Submission of CBROP-2025 to County Executive Committee (<i>Sec. 118 (1b)</i>)	County Treasury	30 th September 2025
4.	Approval of CBROP 2025 (<i>Sec. 118 (3)</i>)	County Executive Committee	14 th October, 2025
5.	Submission of CBROP-2025 to County Assembly (<i>Sec. 118 (4)</i>)	County Treasury	21 st October, 2025
6.	Submission of CFSP- 2026 to County Executive Committee	County Treasury	14 th February, 2026
7.	Submission of CFSP-2026 to County Assembly (<i>Sec. 117 (1)</i>)	County Treasury	28 th February, 2026
8.	Approval of CFSP-2026 (<i>Sec. 117(6) & Reg. 30 (4)</i>)	County Assembly	15 th March, 2026
9.	Submission of Budget Proposals for FY 2026/2027 to County Treasury (<i>Reg. 30(6)</i>)	Accounting Officers	10 th April, 2026
10	Submission of Budget Estimates for FY 2026/2027 to County Executive Committee (<i>Sec. 129 (1) & Reg. 30(7)</i>)	County Treasury	20 th April, 2026
11	Submission of Budget Estimates for FY 2026/2027 to County Assembly (<i>Sec. 129 (2a) & Reg. 30(8)</i>)	CECMF	30 th April, 2026
12	Submission of County Finance Bill to County Assembly (<i>Sec. 132 (2)</i>)	CECMF	June, 2026
13	Approval of the Budget Estimates for FY 2026/2027 (<i>Sec. 131 (1)</i>)	County Assembly	30 th June, 2026
14	Approval of County Finance Bill (<i>Sec. 133</i>)	County Assembly	30 th September, 2026



Annex II: Classification of Functions of Government

Sector	County Entity
Agriculture and Co-operative Development	• Agriculture and Food Security; • Livestock and Fisheries; • Co-operative Development
Energy, Infrastructure and ICT	• Energy, • Roads & Transport; • Public Works, • Information Communication Technology; • Urban Development & Housing; • Digital Economy;
Commercial, Tourism and Labour Affairs	• Trade and External Relations; • Culture & Tourism; • Small and Medium Enterprise Development; • Industry and Innovation
Health	• Medical Services, • Public Health;
Public Administration	• Office of the Governor; • County Administration and Decentralized Units; • Public Service and Performance Management; • Inspectorate, Firefighting and Emergency Services; • Public Participation, Civic Engagement and Customer Service; • Finance; • Revenue Management; • Economic Planning; • Public Communication and E-Government; • County Public Service Board; • County Attorney; • County Assembly
Education, Youth, Sports, Gender and Social Welfare	• Education (ECDE), • Vocational Training; • Youth & Sports; • Gender & Social Welfare
Water and Irrigation	• Water and Irrigation
Land, Environment and Natural Resources	• Lands & Physical Planning; • Environment and Natural Resources; • Climate Change; • Sewerage, Sanitation and Waste Management

Annex III: Format for presentation of Programme Based Budgets (PBB)

Vote No: Title

Part A: Vision

Part B: Mission

Part C: Performance Overview and Rationale for Funding

This section is supposed to discuss the following;

- i. Brief description of mandate
- ii. Expenditure trends i.e. approved budget against actual expenditure FY 2022/2023-2024/2025 budget;
- iii. Major achievements based on the planned outputs/services for FY 2022/2023-2024/2025
- iv. Constraints and challenges in budget implementation and how they will be addressed
- v. Major services/outputs to be provided in the FY 2026/2027 and medium-term budget.

Part D. Strategic Objectives.

List all the programmes and their strategic objectives. Please note that each programme should have only one strategic objective/outcome and must be linked to the CIDP 2023-2027 and ADP 2026/2027



Part E. Summary of the Programmes Key Outputs, Performance Indicators and Targets for FY 2026/2027-2028/2029

Programme	Delivery Unit	Key Outputs	Key Performance Indicators (KPI)	Target FY 2024/2025	Actual Achievement FY 2024/2025	Baseline FY 2025/2026	Target FY 2026/2027	Target FY 2027/2028	Target FY 2028/2029
Programme 1: (Name of the programme)									
Outcome : (Each programme should have one outcome)									
SP:1.1									
SP:1.2									

Part F. Summary of Expenditure by Programmes and Sub-Programmes FY 2026/2027-2028/2029

Sub- Programme (SP)	Printed Estimates FY 2024/2025	Last Supplementary Estimates FY 2024/2025	Actual Expenditure FY 2024/2025	Baseline Estimates FY 2025/2026	Budgeted Estimates FY 2026/2027	Projected Estimates	
Programme: 1. (name of the programme)						FY 2027/2028	FY 2028/2029
Sp: 1.1							
Sp: 1.2							
Total expenditure of Programme 1							
Programme: 2. (name of the programme)							
Sp: 2.1							
Sp: 2.2							
Total Expenditure Programme 2							
Total Expenditure of Vote							

Part G. Summary of Expenditures by Vote Economic Classification 2026/2027-2028/2029

Expenditure Classification	Printed Estimates FY 2024/2025	Last Supplementary Estimates FY 2024/2025	Actual Expenditure FY 2024/2025	Baseline Estimates FY 2025/2026	Budgeted Estimates FY 2026/2027	Projected Estimates	
(1) Current Expenditure						FY 2027/2028	FY 2028/2029
Compensation to Employees							
Use of goods and services							
Current Transfers to Government Agencies							

Expenditure Classification	Printed Estimates FY 2024/2025	Last Supplementary Estimates FY 2024/2025	Actual Expenditure FY 2024/2025	Baseline Estimates FY 2025/2026	Budgeted Estimates FY 2026/2027	Projected Estimates FY 2027/2028	Projected Estimates FY 2028/2029
Other Recurrent							
Social Benefits							
(2) Capital Expenditure							
Acquisition of Non-Financial Assets							
Capital Transfers to Government Agencies							
Other Development							
Total Expenditure of the Vote							

NB: The total current and capital expenditure must be equal to the total expenditures in tables E, F & G

Part H. Summary of Expenditure by Programme, Sub-Programme and Economic Classification; FY 2026/2027-2028/2029

Expenditure Classification	Printed Estimates FY 2024/2025	Last Supplementary Estimates FY 2024/2025	Actual Expenditure FY 2024/2025	Baseline Estimates FY 2025/2026	Budgeted Estimates FY 2026/2027	Projected Estimates FY 2027/2028	Projected Estimates FY 2028/2029
Programme 1: (Name of the programme)							
(1) Current Expenditure							
Compensation to Employees							
Use of goods and services							
Current Transfers to Government Agencies							
Other Recurrent							
(2) Capital Expenditure							
Acquisition of Non-Financial Assets							
Capital Transfers to Government Agencies							
Other Development							
Total Expenditure							
Programme 2: (Name of the programme)							
(1) Current Expenditure							
Compensation to Employees							
Use of goods and services							
Current Transfers Government Agencies							
Other Recurrent							
(2) Capital Expenditure							
Acquisition of Non-Financial Assets							
Capital Transfers to Government Agencies							

Expenditure Classification	Printed Estimates FY 2024/2025	Last Supplementary Estimates FY 2024/2025	Actual Expenditure FY 2024/2025	Baseline Estimates FY 2025/2026	Budgeted Estimates FY 2026/2027	Projected Estimates	
						FY 2027/2028	FY 2028/2029
Other Development							
Total Expenditure of the Vote							

NB: The total current and capital expenditure must be equal to the total expenditures in tables E, F, G and H

Part I: Summary of Human Resource Requirements

Programme Title	Designation/ Position Title	Authorized Establishment	In Post as at 30 th June, 2025	Funded Positions (FY 2025/2026)	Positions to be funded (FY 2026/2027)	Positions to be funded (FY 2027/2028)	Positions to be funded (FY 2028/2029)
Total Funded Positions							

NB: Programmes in Part E, F, H and I should be similar

Annex IV: Format for presentation of Itemized Budget

Item Code	Item Description	Printed Estimates FY 2024/2025	Last Supplementary Estimates FY 2024/2025	Actual Expenditure FY 2024/2025	Printed Estimates FY 2025/2026	Budget Estimates FY 2026/2027	Projected Estimates	
							FY 2027/2028	FY 2028/2029

Note:

- The itemized budget should be per programme and presented as an excel document.
- The budget estimates must be accompanied by budget notes for every programme.

Annex V: Programme Performance Review FY 2022/2023-2024/2025

a. Analysis of Programme Targets and Actual Expenditures

Programme	Delivery Unit	Key Output	Key Performance Indicators	Planned Target			Achieved Target			Remarks
				FY 2022/2023	FY 2023/2024	FY 2024/2025	FY 2022/2023	FY 2023/2024	FY 2024/2025	
Sub-Programme										

b. Analysis of Recurrent Expenditure

Sector	Vote	Economic Classification	Approved Budget Allocation			Actual Expenditure		
			FY 2022/2023	FY 2023/2024	FY 2024/2025	FY 2022/2023	FY 2023/2024	FY 2024/2025
Gross								
AIA								
Compensation to Employees								
Transfers								
Other Recurrent								
Of Which								
Utilities								
Rent								
Insurance								
Contracted Guards and Cleaning Services								
Others Specify								

NB: Briefly explain reasons for deviations between approved and actual expenditure



c. Analysis of Development Expenditure

Sector Name	Description	Approved Budget				Actual Expenditure			
Vote and Vote Details		FY 2022/2023	FY 2023/2024	FY 2024/2025		FY 2022/2023	FY 2023/2024	FY 2024/2025	
County Entity									
	Gross								
	GoK								
	Grants								
	Local AIA								

NB: Briefly explain reasons for deviations between approved and actual expenditure

d. Analysis of Programme Expenditure

Programme	Approved Budget				Actual Expenditure			
	FY 2022/2023	FY 2023/2024	FY 2024/2025		FY 2022/2023	FY 2023/2024	FY 2024/2025	
Programme 1:								
Sub-Programme 1								
Sub-Programme 2								
Total Programme								
Repeat as above for the number of programmes								
TOTAL VOTE								

e. Analysis by Category of Expenditure: Economic Classification

Economic Classification	Approved Budget				Actual Expenditure			
	FY 2022/2023	FY 2023/2024	FY 2024/2025		FY 2022/2023	FY 2023/2024	FY 2024/2025	
Programme 1:								
Current Expenditure								

Economic Classification	Approved Budget			Actual Expenditure		
	FY 2022/2023	FY 2023/2024	FY 2024/2025	FY 2022/2023	FY 2023/2024	FY 2024/2025
Compensation of Employees						
Use of Goods and Services						
Grants and Other Transfers						
Capital Expenditure						
Acquisition of Non-Financial Assets						
Capital Grants to Other Government Agencies						
Other Development						
Total Programme						
<i>*Repeat as above for the number of programmes</i>						
TOTAL VOTE						



f: Analysis of Performance of Projects

Project Title	Estimated Cost	Start Date	Expected Completion Date	Approved Budget FY 2022/23	Cumulative Expenditure as at 30th June 2023	Completion status as at 30th June 2023 (%)	Approved Budget FY 2023/24	Cumulative Expenditure as at 30th June 2024	Completion status as at 30th June 2024 (%)	Approved Budget FY 2024/25	Cumulative Expenditure as at 30th June 2025	Outstanding Balance as at 30th June 2025	Completion status as at 30th June 2025 (%)

g: Summary of Pending Bills

Economic Classification	Due to lack of Exchequer			Due to lack of Provision		
	FY 2022/2023	FY 2023/2024	FY 2024/2025	FY 2022/2023	FY 2023/2024	FY 2024/2025
Recurrent						
Compensation of Employees						
Use of Goods and Services						

Economic Classification	Due to lack of Exchequer			Due to lack of Provision		
	FY 2022/2023	FY 2023/2024	FY 2024/2025	FY 2022/2023	FY 2023/2024	FY 2024/2025
Other Expense						
Development						
Acquisition of Non-Financial Assets						
Use of Goods and Services						
Other Development (Specify)						
Total Pending Bills						

h: Summary of Court Awards

Details of the Award	Date of Award	Amount	Payment to Date
Total			

Annex V1: Costing Techniques

All resources requirements should be accurately costed; County entities will be requested to select the technique providing the most plausible calculation results from the following:

- i. Quantity multiplied by Price;
- ii. Trend;
- iii. Lump sum; and
- iv. Ad hoc/ One-offs.

i. Quantity Multiplied by Price

- This method requires identifying the Quantities involved as well as the different Prices that are associated with the items. Whenever possible, County entities are required to use this calculation method and justification should be provided if this method is not used

ii. Trend

- This might be used if quantity multiplied by price cannot be applied and extrapolates past trends based on an item's expenditure pattern of most recent years. The average past annual rate of increase or decrease is applied to outer years if there is no indication that future developments would substantially deviate from the past.

iii. Lump Sum

- For very small items and to avoid calculation overload, the lump sum method may be used. This involves taking the cost for the item in the current year and keeping it nominally constant in the medium term. The second case where lump sum can be helpful is if there is no reliable indication that the current amount will increase or decrease.

iv. Ad Hoc/ One-Offs

- The one-off is an expenditure which occurs not in each year but only in one or few years. Additionally, it refers to starting expenditure which has already been approved by law or by Cabinet.



Annex VII: Format for presentation of Departmental Personnel Emoluments Requirements for FY 2025/2026

S/No	Employee Name	Basic Pay	Applicable Monthly Allowances * e.g. Commuter, House etc	Gross Monthly Pay (A)	Applicable Annual Allowances** e.g. Leave Allowance = B	Annual Gross Salary D=(A*12)+B	Gratuity 31% of Basic Pay (E)	Employer Contribution to pension schemes=F	Housing Levy=G	Yearly Sub-Total H=D+E+F+G	Promotions (I)	Pending Gratuity (J)	New Recruitments (K)	Total Annual Departmental Requirement L=(H+I+J+K)
1														

*List all monthly allowances paid as part of salary

**List all allowances paid annually

Summary Notes

- Total Number of Employees (Specify No. on PnP and Contractual)
- Total Number of intended promotions
- Total Number of intended New Recruitments

Prepared By..... (HRM)

Certified By..... (Chief Officer)

Approve By..... (CECM)



Annex VIII: Departmental Projects' Submission Form for FY 2025/2026 and Medium-Term Projections

Project Name	Location	Estimated Cost (Kshs)	Start Date	Expected Completion Date	Cumulative Expenditure as at 30 th June 2025	Outstanding Cost as at 30 th June 2025	Completion Status (%) as at 30 th June 2025	Approved Budget FY 2025/2026	Requirements for FY 2026/2027	Budget Estimates FY 2026/2027	Projected Estimates FY 2027/2028	Projected Estimates FY 2028/2029	Remarks

NB: Rank projects in terms of percentage completion

